2007

the year that defaults on US subprime loans became a crisis

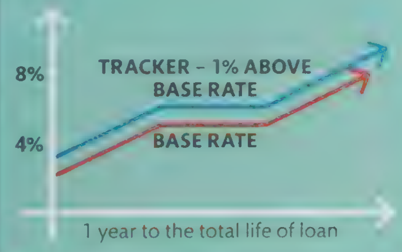
SUBPRIME MORTGAGES AND CREDIT CRUNCH

The subprime mortgage crisis began in 2007 and led to fundamental changes in mortgage products and their regulation. In the US, mortgages had been sold to people without the income to repay them. When the housing bubble burst, this led to a wave of repossessions and bank losses. Mortgage-backed bonds lost value and several banks went bust.

- **Credit crunch** Banks and other lenders reduced the amount of credit available for mortgages and other loans.
- **Recession** The subprime crisis led to a recession or slowdown in several countries. As well as property repossessions, banks and other businesses collapsed.

Tracker mortgages

- Available in the UK, this mortgage rate is variable and tracks a rate or index, e.g., the central bank's base rate.
- Arrangement fees for tracker mortgages tend to be lower than for fixed rate mortgages, but if the interest rate rises, so will the amount borrowers must pay.



Discount mortgages

- The mortgage rate is variable and set at an amount below the lender's standard variable rate (SVR).
- If interest rates are cut, borrowers' rates will probably fall, but there is no guarantee. The SVR can also rise, which will affect interest rates on the mortgage.

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